

The Home Depot, Inc.: financial statement scan

Fiscal years ended January 2022 to February 2026, and the fourth quarter ended February 1, 2026 beside the same quarter a year earlier. Industry: Retail (Building Supply) averages from the spreadsheet's Industry sheet. These are things to check, not findings.

Measure	FY Jan-22	FY Jan-23	FY Jan-24	FY Feb-25	FY Feb-26	Q4 Feb-26	Q4 Feb-25	Industry
Days in period	364	364	364	371	364	91	98	
Days sales outstanding		7.7	7.9	11.4	12.4	13.3	12.1	
Days inventory		86.6	75.1	81.9	85.6	91.3	86.2	
Days payable		39.8	35.9	41.7	38.1	40.6	43.9	
Receivables – revenue growth (pts)			3.3	42.8	10.9	18.0	33.2	
Inventory – cost-of-sales growth (pts)			–12.9	7.4	6.7	13.6	–2.8	
Payables – cost-of-sales growth (pts)			–9.5	14.5	–7.1	–0.2	4.4	
Receivables / sales		2.1%	2.2%	3.1%	3.4%			2.8%
Inventory / sales		15.8%	13.7%	14.7%	15.7%			16.8%
Payables / sales		7.3%	6.6%	7.5%	7.0%			9.4%
Gross margin	33.6%	33.5%	33.4%	33.4%	33.3%	32.6%	32.8%	34.2%
Operating margin	15.2%	15.3%	14.2%	13.5%	12.7%	10.1%	11.3%	11.9%
Accruals / average assets			–7.9%	–5.8%	–2.2%	–0.7%	–1.7%	
Free cash flow (\$m)	14,005	11,496	17,946	16,325	12,646	2,289	3,570	
Net income (\$m)	16,433	17,105	15,143	14,806	14,156	2,571	2,997	
Free cash flow / net income	0.85	0.67	1.19	1.10	0.89	0.89	1.19	
Depreciation rate				7.44%	7.38%			
Capital spending / depreciation		1.13	1.07	1.06	1.07			1.2
Beneish M-score (vs prior year)			–2.80	–2.12	–2.42			

Cost line: the company's own "Cost of sales"; no substitutes were needed. Years are labelled by year-end (the company calls FY Feb-26 "fiscal 2025"). FY Feb-25 had 53 weeks and its fourth quarter 14, so growth gaps against those periods are distorted by the extra week; the days measures allow for it. Depreciation is the property-note figure, which includes finance lease amortization and excludes intangible amortization. Quarterly accruals are not annualised.

Flags (\$m; pre-tax income FY Feb-26 = 18,602)

- Cash against earnings.** Free cash flow fell from 16,325 to 12,646 while net income fell from 14,806 to 14,156. Free cash flow / net income ran 1.19 → 1.10 → 0.89 from FY Jan-24 to FY Feb-26, and 1.19 → 0.89 in the fourth quarter.
Size: 8.1% of pre-tax income (net income less free cash flow, 1,510). It has moved this way for two consecutive years and two same-quarter comparisons.
- Operating margin.** It fell from 13.5% to 12.7% in FY Feb-26 (15.3% in FY Jan-23) and from 11.3% to 10.1% in the fourth quarter, while gross margin moved 0.1 point. The SRS (June 2024) and GMS (September 2025) acquisitions are in the figures.
Size: 7.2% (0.81-point fall × revenue of 164,683 = 1,334). Three consecutive years; two same-quarter comparisons.
- Inventory.** It grew 10.1% against cost-of-sales growth of 3.4%, and days inventory went 75.1 → 81.9 → 85.6 (fourth quarter 86.2 → 91.3). Acquisitions took 5,410 of cash in the year, mainly GMS, whose year-end balances come with about five months of its sales.
Size: 5.9% (balance less balance at prior-year days, 1,102). Two consecutive years; two same-quarter comparisons.
- Payables.** They fell 3.7% while cost of sales rose 3.4%, despite GMS being added; days payable went 41.7 → 38.1 (fourth quarter 43.9 → 40.6). At 7.0% of sales they sit 2.4 points under the industry's 9.4%, a gap of 3,989 (21.4% of pre-tax income) that has been there in all four years.
Size: 5.9% (balance at prior-year days less balance, 1,090). One year, after a rise the year before; one same-quarter comparison.
- Receivables.** They grew 14.2% against revenue growth of 3.2%, and days sales outstanding went 7.7 → 7.9 → 11.4 → 12.4 (fourth quarter 12.1 → 13.3). Customer receivables in the note went 924 → 1,896 → 2,588 across the SRS and GMS acquisitions; receivables are 3.4% of sales against the industry's 2.8%.
Size: 2.4% (balance less balance at prior-year days, 438). Three consecutive years; two same-quarter comparisons.

Revised figures

None moved income or equity. The later changes are reclassifications: 3,606 of "Other assets" at January 2024 moved to a new intangible assets line, and intangible amortization (179, 186 and 52 in three periods) was split out of the cash flow depreciation line.

Not calculated

The allowance as a share of gross receivables (both reports say only that it was "not material"); the depreciation rate before FY Feb-25 and for quarters (no opening gross property for FY Jan-24, and the note is annual); the M-score for FY Jan-23 and balance-sheet measures for FY Jan-22 (no January 2022 balance sheet). The spreadsheet's two quarters after Q4 Feb-26 were left out because no attached document covers them.